Practice workbook · Liquidity and working capital

What liquidity and profitability mean and how they differ, reading the current and liquid ratios across years or against a benchmark, judging whether liquidity is adequate and suggesting ways to improve it.

15 question parts: 1 worked-example retry and 14 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ACC-FS-09

1. Question 2 · part c · 5 marks

2024 JUN · Paper 02

Worked-example retry · Attempt part c only.

2 On 1 January 2023, Thelma started in business by introducing cash of $5 000 and a motor vehicle valued at $12 000. On this day, she also took out a bank loan of $5 000 repayable in full on 31 December 2028.

(a) (i) Calculate the equity at 1 January 2023.

(1)

Thelma did not maintain a full set of accounting records but was able to provide the following information after her first year's trading.

Balances at 31 December 2023	$
Bank overdraft	2 198
Cash in hand	890
Inventory	14 568
Other receivables	200
Other payables	567
Trade receivables	2 167
Trade payables	2 325

During the year ended 31 December 2023:

- Thelma purchased an additional motor vehicle costing $10 000 that she funded from her own monies.
- All motor vehicles were depreciated by 20% per annum using the straight line method.
- A further bank loan, $3 000, was taken out. This was to be repaid in full on 30 June 2024.
- Thelma withdrew cash, $4 000, and goods costing $800

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1. Question 2 · part c · 5 marks

2024 JUN · Paper 02

Worked-example retry · Attempt part c only.

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(ii) Prepare the statement of financial position at 31 December 2023.

(15)

Thelma
Statement of financial position at 31 December 2023

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1. Question 2 · part c · 5 marks

2024 JUN · Paper 02

Worked-example retry · Attempt part c only.

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1. Question 2 · part c · 5 marks

2024 JUN · Paper 02

Worked-example retry · Attempt part c only.

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(b) Discuss **two** reasons why a business should maintain full accounting records.

(4)

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1. Question 2 · part c · 5 marks

2024 JUN · Paper 02

Worked-example retry · Attempt part c only.

On 31 December 2023, another trader, Louise, provided the following information.

31 December	Current ratio	Quick ratio (acid test)
2022	2.8:1	1.6:1
2023	1.2:1	0.8:1

(c) Evaluate the change in the liquidity of Louise's business over the two years and discuss the implications of this for the business's credit suppliers.

(5)

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(Total for Question 2 = 25 marks)

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1. Question 2 · part c · 5 marks · Working and answer

Working and answer

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2. Question 1 · part d · 5 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

1 (a) State **two** stakeholders and their interests in the financial statements of a business.

(4)

The first one has been completed as an example.

Stakeholder	Interest
Employees	*Security of employment*

Abel does not keep a full set of accounting records.

He provided the following information for the year ended 31 March 2019.

	31 March 2019 $	1 April 2018 $
Inventory	9 000	8 600
Trade payables	1 600	1 900
Trade receivables	4 400	3 800

During the year ended 31 March 2019:

- receipts from credit customers were $47 600
- cash sales banked were $3 600 after Abel took $2 000 for personal use
- payments to suppliers were $38 200

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2. Question 1 · part d · 5 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

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(b) Calculate for the year ended 31 March 2019:

(i) total sales

(6)

(ii) total purchases.

(4)

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2. Question 1 · part d · 5 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

(c) Prepare an extract of the income statement for the year ended 31 March 2019 showing the **trading section** only.

(6)

Abel
Income statement for the year ended 31 March 2019

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2. Question 1 · part d · 5 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

Abel has calculated the following ratios.

	31 March	
Ratio	**2019**	**2018**
Current (working capital)	2.42:1	3.01:1
Liquid (acid test)	0.92:1	1.52:1

(d) Evaluate the change in the liquidity of the business.

(5)

(Total for Question 1 = 25 marks)

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2. Question 1 · part d · 5 marks · Working and answer

Working and answer

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3. Question 1 · part f.ii · 5 marks

2020 JAN · Paper 02

Further practice · Attempt part f.ii only.

1 Mia provided the following information at 1 January 2019.

	$
Bank	5 750 Cr
Fixtures and fittings (cost $60 000)	48 000
Inventory	20 000
Other receivables	1 100
Trade payables	34 950
Trade receivables	40 000

(a) Calculate the equity at 1 January 2019.

(3)

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3. Question 1 · part f.ii · 5 marks

2020 JAN · Paper 02

Further practice · Attempt part f.ii only.

During the year ended 31 December 2019

- sales were $210 000
- purchases were $155 000
- Mia took $3 000 in goods and $15 150 in cash for personal use
- Mia introduced her private motor vehicle valued at $10 000
- profit for the year as a percentage of revenue was 10%.

At 31 December 2019 the inventory was valued at $25 000

(b) Prepare an extract of the income statement for the year ended 31 December 2019 showing the **trading section** only.

(6)

Mia

Income statement for the year ended 31 December 2019

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3. Question 1 · part f.ii · 5 marks

2020 JAN · Paper 02

Further practice · Attempt part f.ii only.

(c) Prepare an extract of the statement of financial position at 31 December 2019 showing the **equity section** only.

(5)

Mia

Statement of financial position at 31 December 2019

Equity

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(d) State **two** factors that cause non-current assets to depreciate.

(2)

1 .....

2 .....

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3. Question 1 · part f.ii · 5 marks

2020 JAN · Paper 02

Further practice · Attempt part f.ii only.

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(e) State **two** concepts that apply when depreciating non-current assets.

(2)

1 .....

2 .....

(f) (i) State the formula for each ratio.

(2)

Ratio	Formula	2019	2018
Current (working capital)		1.8:1	2:1
Liquid (acid test)		0.5:1	1:1

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(ii) Evaluate the change in liquidity.

(5)

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(Total for Question 1 = 25 marks)

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3. Question 1 · part f.ii · 5 marks · Working and answer

Working and answer

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4. Question 2 · part d.i · 4 marks

2020 NOV · Paper 02

Further practice · Attempt part d.i only.

2 Hyat, a manufacturer, provided the following information for the year ended 31 December 2019.

	1 January $	31 December $
Factory machinery		
Cost	40 000	40 000
Accumulated depreciation	14 400	**To be calculated**
Inventory		
Finished goods	4 730	5 180
Work in progress	1 370	1 450
Administration expenses		13 475
Wages and salaries		
Factory indirect		15 000
Office		5 000
Rent, rates and power		
Factory		4 500
Office		1 500
Revenue		68 000

- Factory indirect wages of $250 were owing.
- Administration expenses of $1 750 were paid in advance.
- Depreciation is charged on factory machinery at 20% per annum using the reducing balance method.

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4. Question 2 · part d.i · 4 marks

2020 NOV · Paper 02

Further practice · Attempt part d.i only.

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Hyat has already calculated the prime cost as shown.

(a) Complete the manufacturing account for the year ended 31 December 2019.

(6)

Hyat
Manufacturing account for the year ended 31 December 2019

	$
Prime cost	**18 750**

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4. Question 2 · part d.i · 4 marks

2020 NOV · Paper 02

Further practice · Attempt part d.i only.

(b) Prepare the income statement for the year ended 31 December 2019.

(9)

Hyat
Income statement for the year ended 31 December 2019

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4. Question 2 · part d.i · 4 marks

2020 NOV · Paper 02

Further practice · Attempt part d.i only.

(c) Explain, by referring to an appropriate accounting concept, why it is necessary to adjust for a payment in advance.

(2)

Hyat provided the following ratios.

Ratio	2018	2019
Current (working capital)	1.50:1	1.50:1
Liquid (acid test)	1.02:1	0.85:1

(d) (i) Evaluate the change in liquidity.

(4)

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4. Question 2 · part d.i · 4 marks

2020 NOV · Paper 02

Further practice · Attempt part d.i only.

Hyat believes that the liquidity of the business has improved.

(ii) State whether he is correct.

(1)

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(iii) Explain **one** way Hyat could improve his liquidity.

(3)

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(Total for Question 2 = 25 marks)

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4. Question 2 · part d.i · 4 marks · Working and answer

Working and answer

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5. Question 2 · part d.ii · 1 mark

2020 NOV · Paper 02

Further practice · Attempt part d.ii only.

2 Hyat, a manufacturer, provided the following information for the year ended 31 December 2019.

	1 January $	31 December $
Factory machinery		
Cost	40 000	40 000
Accumulated depreciation	14 400	**To be calculated**
Inventory		
Finished goods	4 730	5 180
Work in progress	1 370	1 450
Administration expenses		13 475
Wages and salaries		
Factory indirect		15 000
Office		5 000
Rent, rates and power		
Factory		4 500
Office		1 500
Revenue		68 000

- Factory indirect wages of $250 were owing.
- Administration expenses of $1 750 were paid in advance.
- Depreciation is charged on factory machinery at 20% per annum using the reducing balance method.

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5. Question 2 · part d.ii · 1 mark

2020 NOV · Paper 02

Further practice · Attempt part d.ii only.

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Hyat has already calculated the prime cost as shown.

(a) Complete the manufacturing account for the year ended 31 December 2019.

(6)

Hyat
Manufacturing account for the year ended 31 December 2019

	$
Prime cost	**18 750**

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5. Question 2 · part d.ii · 1 mark

2020 NOV · Paper 02

Further practice · Attempt part d.ii only.

(b) Prepare the income statement for the year ended 31 December 2019.

(9)

Hyat
Income statement for the year ended 31 December 2019

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5. Question 2 · part d.ii · 1 mark

2020 NOV · Paper 02

Further practice · Attempt part d.ii only.

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(c) Explain, by referring to an appropriate accounting concept, why it is necessary to adjust for a payment in advance.

(2)

Hyat provided the following ratios.

Ratio	2018	2019
Current (working capital)	1.50:1	1.50:1
Liquid (acid test)	1.02:1	0.85:1

(d) (i) Evaluate the change in liquidity.

(4)

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5. Question 2 · part d.ii · 1 mark

2020 NOV · Paper 02

Further practice · Attempt part d.ii only.

Hyat believes that the liquidity of the business has improved.

(ii) State whether he is correct.

(1)

(iii) Explain **one** way Hyat could improve his liquidity.

(3)

(Total for Question 2 = 25 marks)

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Working and answer

6. Question 1 · part c · 5 marks

2021 NOV · Paper 02

Further practice · Attempt part c only.

1 Thomas, a manufacturer, provided the following information for the year ended 31 March 2021 after the preparation of the manufacturing account.

	1 April 2020 $	31 March 2021 $
Office equipment		
– Cost	25 000	25 000
– Accumulated depreciation	9 000	12 200
Plant and machinery		
– Cost	200 000	200 000
– Accumulated depreciation	72 000	97 600
Inventories		
– Raw materials	20 000	25 000
– Work in progress	12 000	11 000
– Finished goods	27 500	30 000
Provision for irrecoverable debts	2 500	3 000
Revenue		425 000
Production cost		300 000
Administrative expenses paid		45 000
Carriage outwards		2 745
Office rent paid		24 000
Other payables – office rent		3 000
Other receivables – administrative expenses		5 000
Trade receivables		60 000
Cash in hand		800

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6. Question 1 · part c · 5 marks

2021 NOV · Paper 02

Further practice · Attempt part c only.

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(a) Prepare the income statement for the year ended 31 March 2021.

(11)

Thomas
Income statement for the year ended 31 March 2021

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6. Question 1 · part c · 5 marks

2021 NOV · Paper 02

Further practice · Attempt part c only.

(b) Prepare **an extract** of the statement of financial position at 31 March 2021 showing the **Assets** section only.

(9)

Thomas
Statement of financial position at 31 March 2021

Assets

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6. Question 1 · part c · 5 marks

2021 NOV · Paper 02

Further practice · Attempt part c only.

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Thomas provided the following ratios for the years ended 31 March 2020 and 31 March 2021.

Ratio	2020	2021
Current (working capital)	1.8:1	2.2:1
Liquid (acid test)	0.8:1	1.2:1

Thomas stated that his liquidity position has improved.

(c) Evaluate whether liquidity has improved.

(5)

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(Total for Question 1 = 25 marks)

6. Question 1 · part c · 5 marks · Working and answer

Working and answer

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7. Question 2 · part c.ii · 5 marks

2022 JUN · Paper 02

Further practice · Attempt part c.ii only.

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2 Carl and Ming are in partnership sharing profits and losses equally. The partnership agreement also provided for:

- interest on opening capital at 8% per annum
- interest on total drawings at 9% per annum
- a salary for Ming of $18 000 per annum.

	Balances at 1 April 2021		Year ended 31 March 2022
	Capital Account $	Current Account $	Drawings $
Carl	75 000	3 150	24 000
Ming	50 000	900	26 000

On 1 January 2022 the partnership purchased a machine costing $10 000. This was fully funded by a 10% bank loan.

This transaction has not yet been entered in the books of account.

Depreciation is charged on machinery at 15% per annum using the straight-line method. A full year's depreciation is charged in the year of acquisition.

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7. Question 2 · part c.ii · 5 marks

2022 JUN · Paper 02

Further practice · Attempt part c.ii only.

(a) Complete the income statement and appropriation account for the year ended 31 March 2022.

(8)

Carl and Ming
Income statement and appropriation account for the year ended 31 March 2022

	$	$
Draft profit for the year		42 140
Bank loan interest		
Depreciation charge		
Updated profit for the year		
Share of profit		
Carl		
Ming		

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7. Question 2 · part c.ii · 5 marks

2022 JUN · Paper 02

Further practice · Attempt part c.ii only.

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(b) (i) Prepare the current account of Ming for the year ended 31 March 2022.
Balance the account on this date and bring the balance down on 1 April 2022.

(8)

Current Account – Ming

Date	Details	$	Date	Details	$

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7. Question 2 · part c.ii · 5 marks

2022 JUN · Paper 02

Further practice · Attempt part c.ii only.

(ii) State what a **credit** balance on a partner's current account means.

(1)

(iii) State how a **debit** balance on a partner's current account may arise.

(1)

The partners believed that the liquidity of the business had improved and provided the following ratios.

Ratio	2021	2022
Current (working capital)	1.89:1	1.56:1
Liquid (acid test)	0.81:1	1.01:1

(c) (i) State the formula for **each** ratio.

(2)

Ratio	Formula
Current (working capital)	
Liquid (acid test)	

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7. Question 2 · part c.ii · 5 marks

2022 JUN · Paper 02

Further practice · Attempt part c.ii only.

(ii) Evaluate whether the partners are correct that liquidity has improved.

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(Total for Question 2 = 25 marks)

7. Question 2 · part c.ii · 5 marks · Working and answer

Working and answer

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8. Question 2 · part d · 5 marks

2023 JAN · Paper 02

Further practice · Attempt part d only.

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2 Yamini purchases and sells goods on a credit basis. She provided the following information for the year ended 30 September 2022.

	1 October 2021 $	30 September 2022 $
Motor vehicles Cost Provision for depreciation	 50 000 10 000	 50 000 **To be calculated**
Inventory	25 750	27 460
Other payables – wages	–	500
Other receivables – office expenses	–	400
Trade payables	15 500	12 750
Trade receivables	21 400	32 500

Bank Summary

Receipts	$	Payments	$
Interest received	110	Drawings	18 000
Trade receivables	167 650	Office expenses	26 750
		Trade payables	92 750
		Wages	33 000

Depreciation is charged at 20% per annum using the reducing balance method.

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8. Question 2 · part d · 5 marks

2023 JAN · Paper 02

Further practice · Attempt part d only.

(a) Calculate for the year ended 30 September 2022:

(i) credit sales

(3)

(ii) credit purchases.

(3)

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8. Question 2 · part d · 5 marks

2023 JAN · Paper 02

Further practice · Attempt part d only.

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(b) Prepare the income statement for the year ended 30 September 2022.

(12)

Yamini
Income statement for the year ended 30 September 2022

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8. Question 2 · part d · 5 marks

2023 JAN · Paper 02

Further practice · Attempt part d only.

(c) State **two** accounting concepts that apply when preparing financial statements.

(2)

1 .....

2 .....

Yamani provided the following information at 30 September 2022.

	30 September	
	2021	**2022**
Current (working capital) ratio	2:1:1	2.3:1
Liquid (acid test) ratio	1.2:1	0.8:1

(d) Evaluate the change in liquidity from 2021 to 2022.

(5)

(Total for Question 2 = 25 marks)

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8. Question 2 · part d · 5 marks · Working and answer

Working and answer

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9. Question 1 · part b.i · 2 marks

2023 NOV · Paper 02

Further practice · Attempt part b.i only.

1 Yola, a manufacturer, provided the following information for the year ended 31 March 2023.

	1 April 2022 $	31 March 2023 $
Inventory		
– raw materials	12980	19170
– work in progress	12340	11170
– finished goods	20100	37800
Carriage inwards		1610
Carriage outwards		2390
Electricity		15000
Factory rent paid		69800
Insurance		8000
Other payables – factory supervisor		350
Other receivables – factory rent		12400
Production machinery		
– cost		206500
– provision for depreciation		81000
Purchases – raw materials		186500
Revenue		827500
Royalties		12000
Wages paid		
– production		95600
– factory supervisor		37400
– administration		21500

Production machinery is depreciated at 20% per annum using the reducing balance method. A full year's depreciation is charged in the year of purchase.

Electricity and insurance are apportioned 70% to the factory and 30% to administration.

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9. Question 1 · part b.i · 2 marks

2023 NOV · Paper 02

Further practice · Attempt part b.i only.

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(a) Prepare, for the year ended 31 March 2023, the:

(i) manufacturing account

(11)

Yola
Manufacturing Account for the year ended 31 March 2023

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9. Question 1 · part b.i · 2 marks

2023 NOV · Paper 02

Further practice · Attempt part b.i only.

(ii) income statement.

(9)

Yola
Income Statement for the year ended 31 March 2023

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9. Question 1 · part b.i · 2 marks

2023 NOV · Paper 02

Further practice · Attempt part b.i only.

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On 1 April 2022 Yola's current (working capital) ratio was 1.8 : 1

On 31 March 2023 the ratio had fallen to 1.1 : 1

(b) (i) Evaluate the change in the current (working capital) ratio over the year.

(2)

(ii) Explain **one** way Yola can improve her working capital position.

(3)

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(Total for Question 1 = 25 marks)

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9. Question 1 · part b.i · 2 marks · Working and answer

Working and answer

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10. Question 2 · part b.ii · 5 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part b.ii only.

2 Bob, a sole trader, provided the following information at 29 February 2024.

	$
Allowance for doubtful debts	346
Bank loan (2028)	10 000
Cash at bank	2 198
Cash in hand	289
Drawings	5 552
Equity – 1 March 2023	30 000
Fixtures and fittings (carrying value)	11 900
Inventory	8 531
Motor vehicles (carrying value)	15 400
Other payables	211
Other receivables	600
Profit for the year	8 083
Trade payables	4 320
Trade receivables	8 490

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10. Question 2 · part b.ii · 5 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part b.ii only.

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(a) Prepare the statement of financial position for Bob at 29 February 2024.

(10)

Bob

Statement of financial position at 29 February 2024

OLevels.com SCHOOL

10. Question 2 · part b.ii · 5 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part b.ii only.

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OLevels.com SCHOOL

10. Question 2 · part b.ii · 5 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part b.ii only.

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(b) (i) Calculate Bob's current (working capital) ratio and the liquid (acid test) ratio, stating the formula used. Answers should be given to **two** decimal places.

(4)

Ratio	Formula	Answer
Current (working capital)		
Liquid (acid test)		

(ii) Evaluate **both** ratios and state whether Bob should be satisfied with these figures.

(5)

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10. Question 2 · part b.ii · 5 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part b.ii only.

(c) State **one** difference between profitability and liquidity.

(2)

(d) Explain, referring to a relevant accounting concept, why it is necessary to adjust for other receivables and other payables at the year-end.

(4)

Concept

Explanation

(Total for Question 2 = 25 marks)

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10. Question 2 · part b.ii · 5 marks · Working and answer

Working and answer

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11. Question 2 · part d.iii · 3 marks

2020 NOV · Paper 02

Further practice · Attempt part d.iii only.

2 Hyat, a manufacturer, provided the following information for the year ended 31 December 2019.

	1 January $	31 December $
Factory machinery		
Cost	40 000	40 000
Accumulated depreciation	14 400	**To be calculated**
Inventory		
Finished goods	4 730	5 180
Work in progress	1 370	1 450
Administration expenses		13 475
Wages and salaries		
Factory indirect		15 000
Office		5 000
Rent, rates and power		
Factory		4 500
Office		1 500
Revenue		68 000

- Factory indirect wages of $250 were owing.
- Administration expenses of $1 750 were paid in advance.
- Depreciation is charged on factory machinery at 20% per annum using the reducing balance method.

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11. Question 2 · part d.iii · 3 marks

2020 NOV · Paper 02

Further practice · Attempt part d.iii only.

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Hyat has already calculated the prime cost as shown.

(a) Complete the manufacturing account for the year ended 31 December 2019.

(6)

Hyat
Manufacturing account for the year ended 31 December 2019

	$
Prime cost	**18 750**

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11. Question 2 · part d.iii · 3 marks

2020 NOV · Paper 02

Further practice · Attempt part d.iii only.

(b) Prepare the income statement for the year ended 31 December 2019.

(9)

Hyat
Income statement for the year ended 31 December 2019

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11. Question 2 · part d.iii · 3 marks

2020 NOV · Paper 02

Further practice · Attempt part d.iii only.

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(c) Explain, by referring to an appropriate accounting concept, why it is necessary to adjust for a payment in advance.

(2)

Hyat provided the following ratios.

Ratio	2018	2019
Current (working capital)	1.50:1	1.50:1
Liquid (acid test)	1.02:1	0.85:1

(d) (i) Evaluate the change in liquidity.

(4)

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11. Question 2 · part d.iii · 3 marks

2020 NOV · Paper 02

Further practice · Attempt part d.iii only.

Hyat believes that the liquidity of the business has improved.

(ii) State whether he is correct.

(1)

(iii) Explain **one** way Hyat could improve his liquidity.

(3)

(Total for Question 2 = 25 marks)

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Working and answer

12. Question 1 · part b.ii · 3 marks

2023 NOV · Paper 02

Further practice · Attempt part b.ii only.

1 Yola, a manufacturer, provided the following information for the year ended 31 March 2023.

	1 April 2022 $	31 March 2023 $
Inventory		
– raw materials	12980	19170
– work in progress	12340	11170
– finished goods	20100	37800
Carriage inwards		1610
Carriage outwards		2390
Electricity		15000
Factory rent paid		69800
Insurance		8000
Other payables – factory supervisor		350
Other receivables – factory rent		12400
Production machinery		
– cost		206500
– provision for depreciation		81000
Purchases – raw materials		186500
Revenue		827500
Royalties		12000
Wages paid		
– production		95600
– factory supervisor		37400
– administration		21500

Production machinery is depreciated at 20% per annum using the reducing balance method. A full year's depreciation is charged in the year of purchase.

Electricity and insurance are apportioned 70% to the factory and 30% to administration.

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12. Question 1 · part b.ii · 3 marks

2023 NOV · Paper 02

Further practice · Attempt part b.ii only.

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(a) Prepare, for the year ended 31 March 2023, the:

(i) manufacturing account

(11)

Yola
Manufacturing Account for the year ended 31 March 2023

OLevels.com SCHOOL

12. Question 1 · part b.ii · 3 marks

2023 NOV · Paper 02

Further practice · Attempt part b.ii only.

(ii) income statement.

(9)

Yola
Income Statement for the year ended 31 March 2023

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12. Question 1 · part b.ii · 3 marks

2023 NOV · Paper 02

Further practice · Attempt part b.ii only.

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On 1 April 2022 Yola's current (working capital) ratio was 1.8 : 1

On 31 March 2023 the ratio had fallen to 1.1 : 1

(b) (i) Evaluate the change in the current (working capital) ratio over the year.

(2)

(ii) Explain **one** way Yola can improve her working capital position.

(3)

(Total for Question 1 = 25 marks)

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12. Question 1 · part b.ii · 3 marks · Working and answer

Working and answer

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13. Question 2 · part b.i · 1 mark

2019 JUN · Paper 02

Further practice · Attempt part b.i only.

2 (a) State which accounting concept applies in **each** scenario.

(3)

Scenario	Accounting concept
Adjusting expenses for other receivables	
Creating a provision for irrecoverable debts	
Recording goods taken for personal use	

(b) Define the terms:

(i) profitability

(1)

(ii) liquidity.

(1)

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13. Question 2 · part b.i · 1 mark · Working and answer

Working and answer

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14. Question 2 · part b.ii · 1 mark

2019 JUN · Paper 02

Further practice · Attempt part b.ii only.

2 (a) State which accounting concept applies in **each** scenario.

(3)

Scenario	Accounting concept
Adjusting expenses for other receivables	
Creating a provision for irrecoverable debts	
Recording goods taken for personal use	

(b) Define the terms:

(i) profitability

(1)

(ii) liquidity.

(1)

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14. Question 2 · part b.ii · 1 mark

2019 JUN · Paper 02

Further practice · Attempt part b.ii only.

A business provided the following information.

Ratio	2018	2017
Gross profit percentage	23.50%	20.00%
Profit for the year as a percentage of revenue	15.97%	12.47%
Current (working capital) ratio	2.89:1	1.75:1
Liquid (acid test) ratio	1.57:1	0.87:1

(c) Evaluate the performance of the business over the two years.

(5)

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14. Question 2 · part b.ii · 1 mark · Working and answer

Working and answer

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15. Question 2 · part c · 2 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

2 Bob, a sole trader, provided the following information at 29 February 2024.

	$
Allowance for doubtful debts	346
Bank loan (2028)	10 000
Cash at bank	2 198
Cash in hand	289
Drawings	5 552
Equity – 1 March 2023	30 000
Fixtures and fittings (carrying value)	11 900
Inventory	8 531
Motor vehicles (carrying value)	15 400
Other payables	211
Other receivables	600
Profit for the year	8 083
Trade payables	4 320
Trade receivables	8 490

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15. Question 2 · part c · 2 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

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(a) Prepare the statement of financial position for Bob at 29 February 2024.

(10)

Bob

Statement of financial position at 29 February 2024

OLevels.com SCHOOL

15. Question 2 · part c · 2 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

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15. Question 2 · part c · 2 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

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(b) (i) Calculate Bob's current (working capital) ratio and the liquid (acid test) ratio, stating the formula used. Answers should be given to **two** decimal places.

(4)

Ratio	Formula	Answer
Current (working capital)		
Liquid (acid test)		

(ii) Evaluate **both** ratios and state whether Bob should be satisfied with these figures.

(5)

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15. Question 2 · part c · 2 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

(c) State **one** difference between profitability and liquidity.

(2)

(d) Explain, referring to a relevant accounting concept, why it is necessary to adjust for other receivables and other payables at the year-end.

(4)

Concept

Explanation

(Total for Question 2 = 25 marks)

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15. Question 2 · part c · 2 marks · Working and answer

Working and answer

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